Assignment 8

ABC Company issued $200,000 face value bonds on January 1, 2013, with semiannual interest payments to be made on June 30 and December 31 at a contract rate of 10%. The bonds were scheduled to mature five years after they were issued.

Part A.

Assume that the bonds were issued when the market rate of interest was 9%. Selling price of the bond is $207,907.

If using straight line method, show the calculation of the periodic amortization within the appropriate journal entries explanations.

Require：

1. Prepare the journal entry to record the bond issuance.
2. Prepare journal entries for the first two interest payments.

Part B.

Assume that the bonds were issued when the market rate of interest was 16%. Selling price of the bond is $159,741.

Require：

1. Prepare the journal entry to record the bond issuance.
2. Prepare journal entries for the first two interest payments.